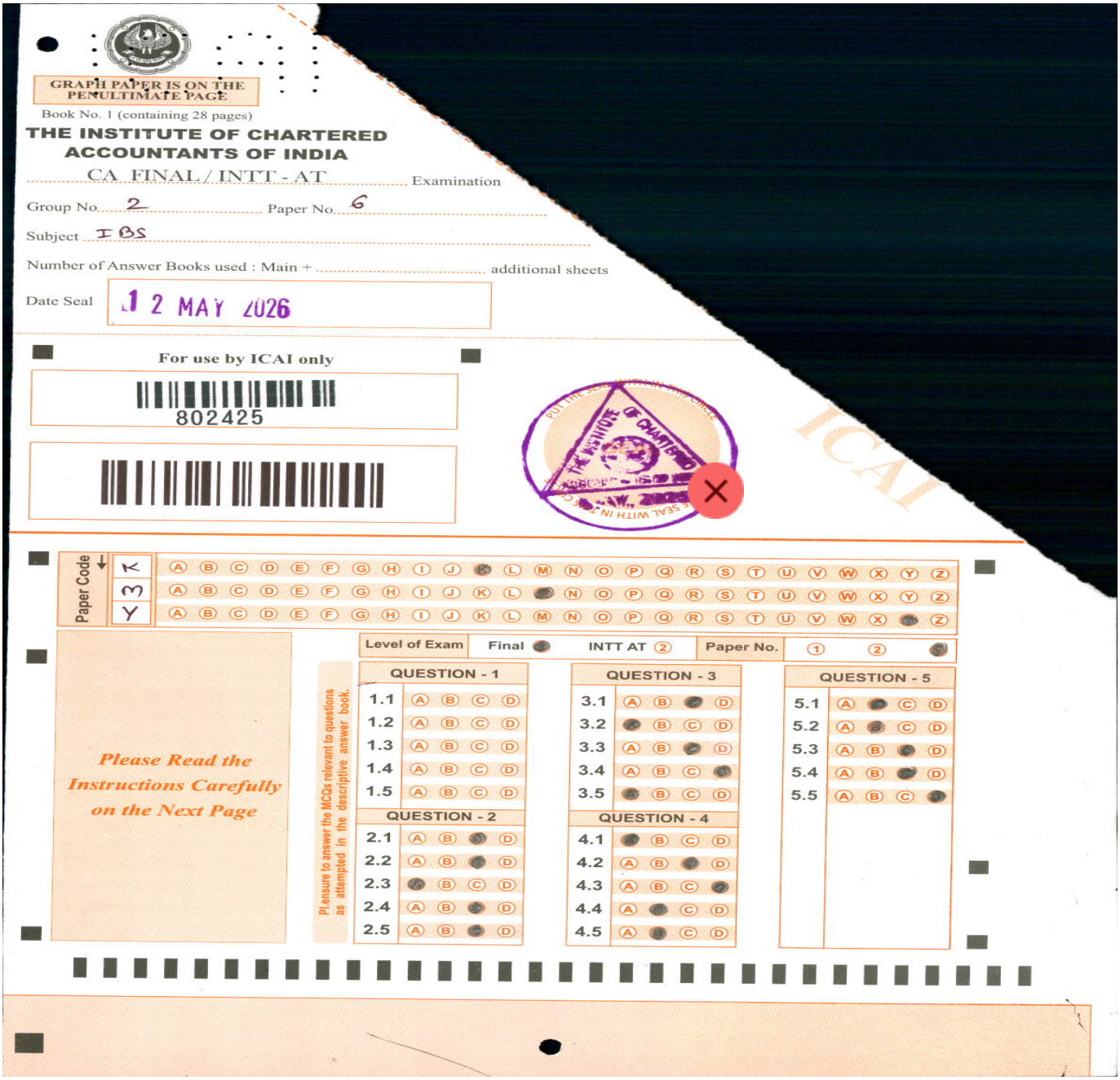
The Institute of Chartered Accountants of India

Code: FN6IB802425 **Total Marks:** 60

Subject : 06 Integrated Business Solutions Multi disciplinary Case Studies **Marks Obtained :** 39.5



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL / INTT - AT Examination

Group No. 2 Paper No. 6

Subject IBS

Number of Answer Books used : Main + ... additional sheets

Date Seal 12 MAY 2026

For use by ICAI only

802425

Paper Code: K M Y

Level of Exam: Final ● INTT AT ② Paper No. ① ②

Please Read the Instructions Carefully on the Next Page

Please ensure to answer the MCQs relevant to questions as attempted in the descriptive answer book.

QUESTION - 1		QUESTION - 2		QUESTION - 3		QUESTION - 4		QUESTION - 5	
1.1	D	2.1	D	3.1	D	4.1	B	5.1	C
1.2	B	2.2	D	3.2	B	4.2	D	5.2	B
1.3	C	2.3	A	3.3	D	4.3	D	5.3	D
1.4	D	2.4	D	3.4	C	4.4	B	5.4	D
1.5	B	2.5	D	3.5	A	4.5	B	5.5	A

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Code: FN6IB802425 **Total Marks:** 60

Subject : 06 Integrated Business Solutions Multi disciplinary Case Studies **Marks Obtained :** 39.5

[redacted]

...of the cover sheet only and nowhere else including

...of the OMR portion provided in the right hand corner of the

...ject at the appropriate space at the left hand upper corner.

... and affix the same on box provided in the right hand corner of the cover page.

...il number written in numbers, words and circles darkened are correct. In case any ...responsibility for rectifying the mistake.

...esh page and question number prominently written at the top of each answer. Alternatively, the ...argin.

... be fully completed in one page or in a consecutive set of pages, before the next question is taken up.

... the space provided for the purpose or writing distinguishing mark, symbols like "OM", "Sri", "Jesus", "786", ...nfair means"

...r book to the invigilator take care to score out (X) blank pages, if any, that you might have left.

...CTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

... **Pencil to Darken the appropriate Circle.**

...darken the correct MCQ Booklet Serial No. as printed on your questio...klet which will be taken as final for evaluation. ... any candidate fills in this information wrongly, Institute will not take an...nsibility for rectifying the mistake.

...se darken the complete circle.

...f you want to change your Answer, erase the darkened circle completely and make a fresh mark.

5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers	
CORRECT METHOD	WRONG METHOD
Ⓐ ● Ⓒ Ⓓ	✖ ⊘ ◉ ○

Q. No.	To be ticked ☑ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	

DO NOT WRITE ANYTHING HERE

03

Q2-6.

Value-added activities are indispensable to complete the process and customers are willing to pay.

Non-value added activities are not valued by external or internal customers. They do not improve the quality of a function but can adversely effect costs and prices.

Five major activities are often Non-value added:

- Storing
- moving
- waiting
- inspecting
- scheduling

Case Study Insights

- moving partially-aged products from fermentation facility to ageing facility using outdated labour intensive process is Non-value added. Better techniques and automation can be used to eliminate this.

- vinegar barells left unattended in storage areas as the forklift engaged with other unproductive task. Storing is a non-value added activity and the unproductive tasks must be eliminated to ensure that vinegar is not left ~~not~~ unattended.

- Finished bottled spirits moved to temperary holding where they are [waiting] for quality control checks is a Non-value added. waiting time must be reduced by engaging more inspectors or employing automation.

- [Inspection] of total produce is also a Non-value added activity as it adds no value to customer.

- storage facility disorganised leading to finished goods spending long periods in warehouse. [Storing] is a non-value added. It should be properly organised to reduce time.

- Haphazard production line due to unscheduled machine maintenance. [scheduling] inefficiencies is leading to production delays. It should be made organised and structured.

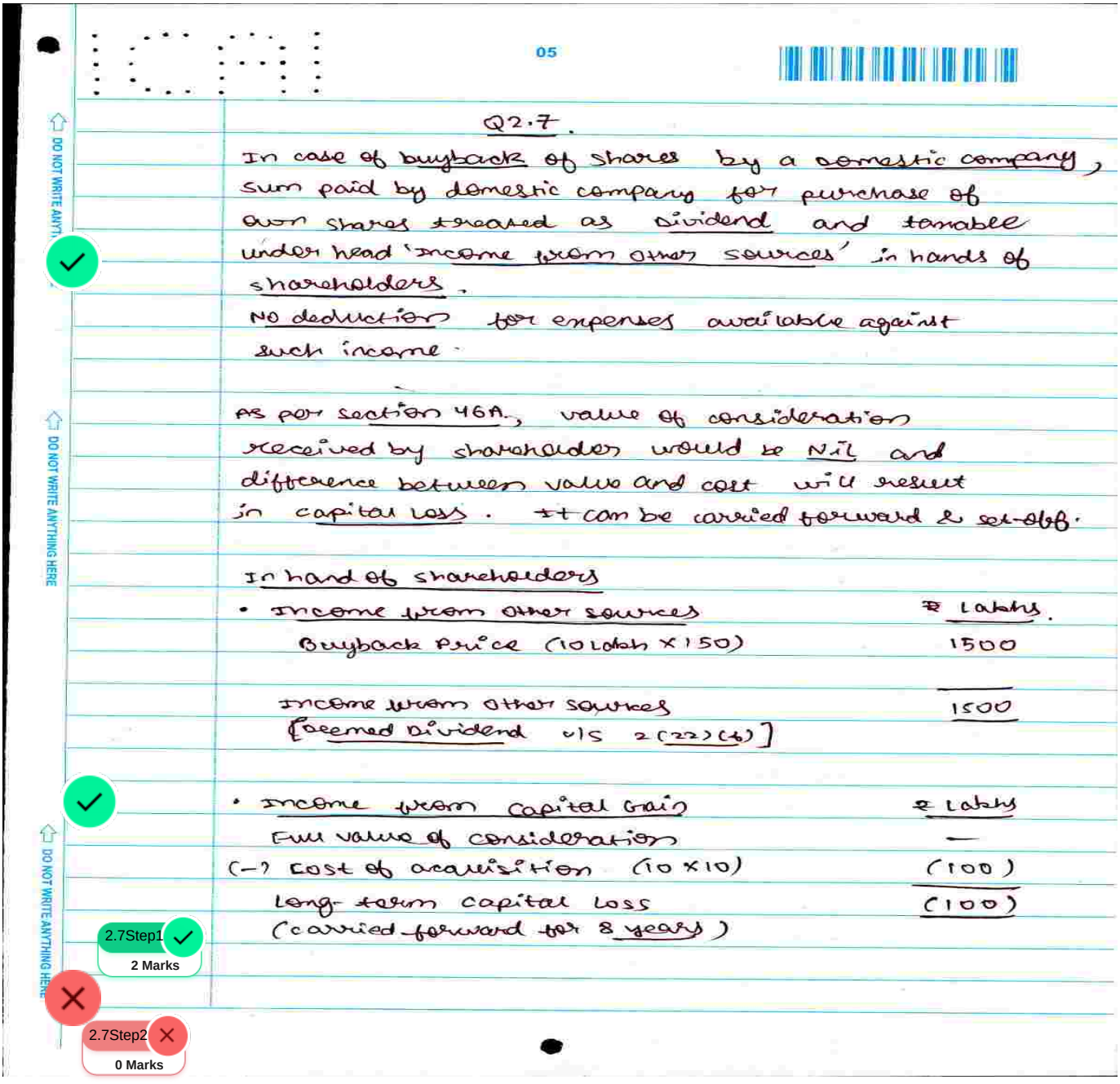
2.6Step1 3 Marks

2.6 3 Marks

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05

Q2.7.

In case of buyback of shares by a domestic company, sum paid by domestic company for purchase of own shares treated as dividend and taxable under head 'Income from other sources' in hands of shareholders.

No deduction for expenses available against such income.

As per section 46A., value of consideration received by shareholder would be Nil and difference between value and cost will result in capital loss. It can be carried forward & set-off.

In hand of shareholders

- Income from other sources

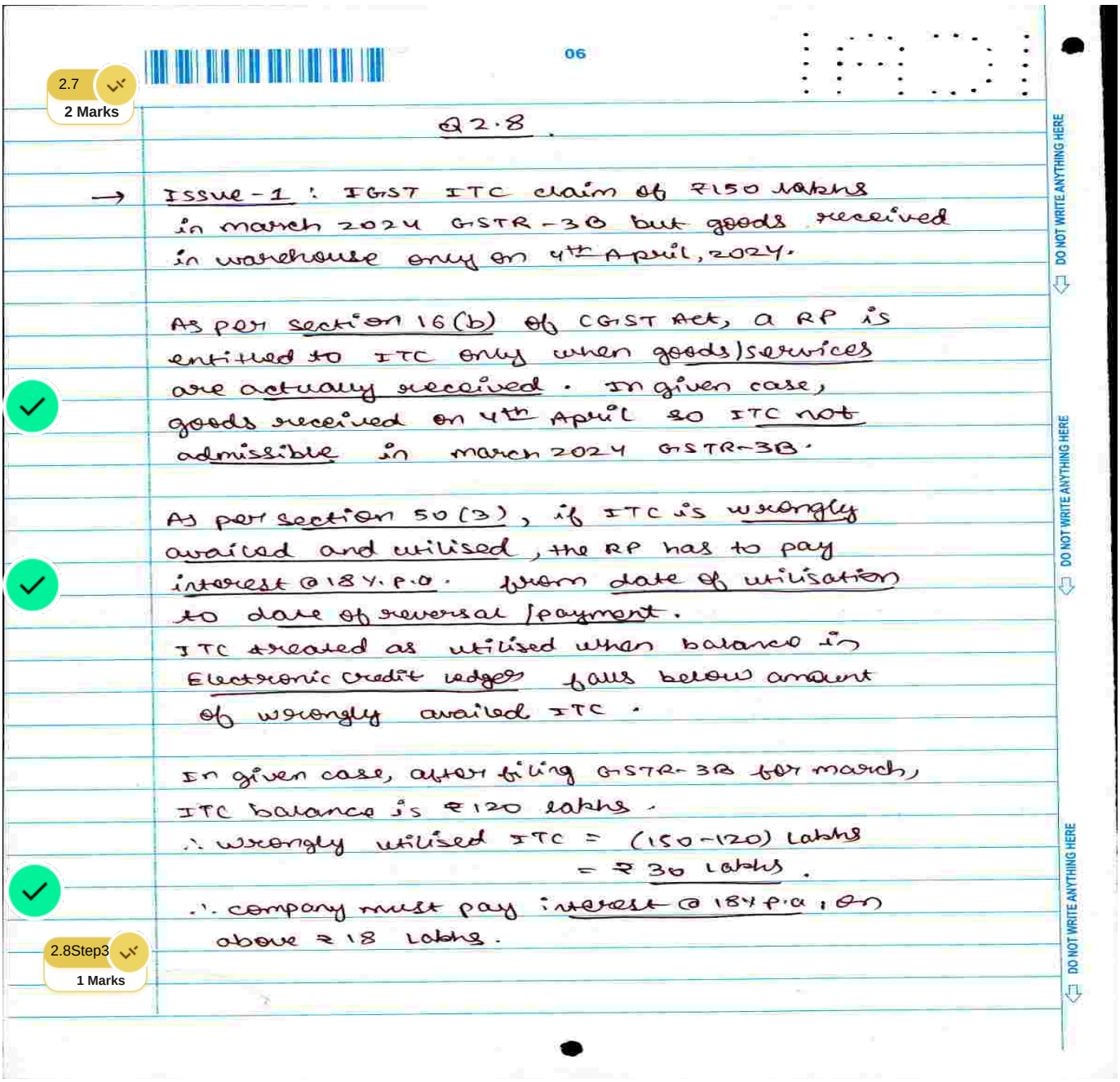
	₹ Lakhs.
Buyback Price (10 Lakh × 150)	1500
Income from other sources [Deemed Dividend u/s 2(22)(f)]	1500

- Income from Capital Gain

	₹ Lakhs
Full value of consideration	—
(–) Cost of acquisition (10 × 10)	(100)
Long-term capital loss (carried forward for 8 years)	(100)

2.7Step1 ✓ 2 Marks

2.7Step2 ✗ 0 Marks



06

2.7 LV
2 Marks

Q 2.8.

→ Issue-1 : IGST ITC claim of ₹150 lakhs in march 2024 GSTR-3B but goods received in warehouse only on 4th April, 2024.

As per section 16(b) of CGST Act, a RP is entitled to ITC only when goods/services are actually received. In given case, goods received on 4th April so ITC not admissible in march 2024 GSTR-3B.

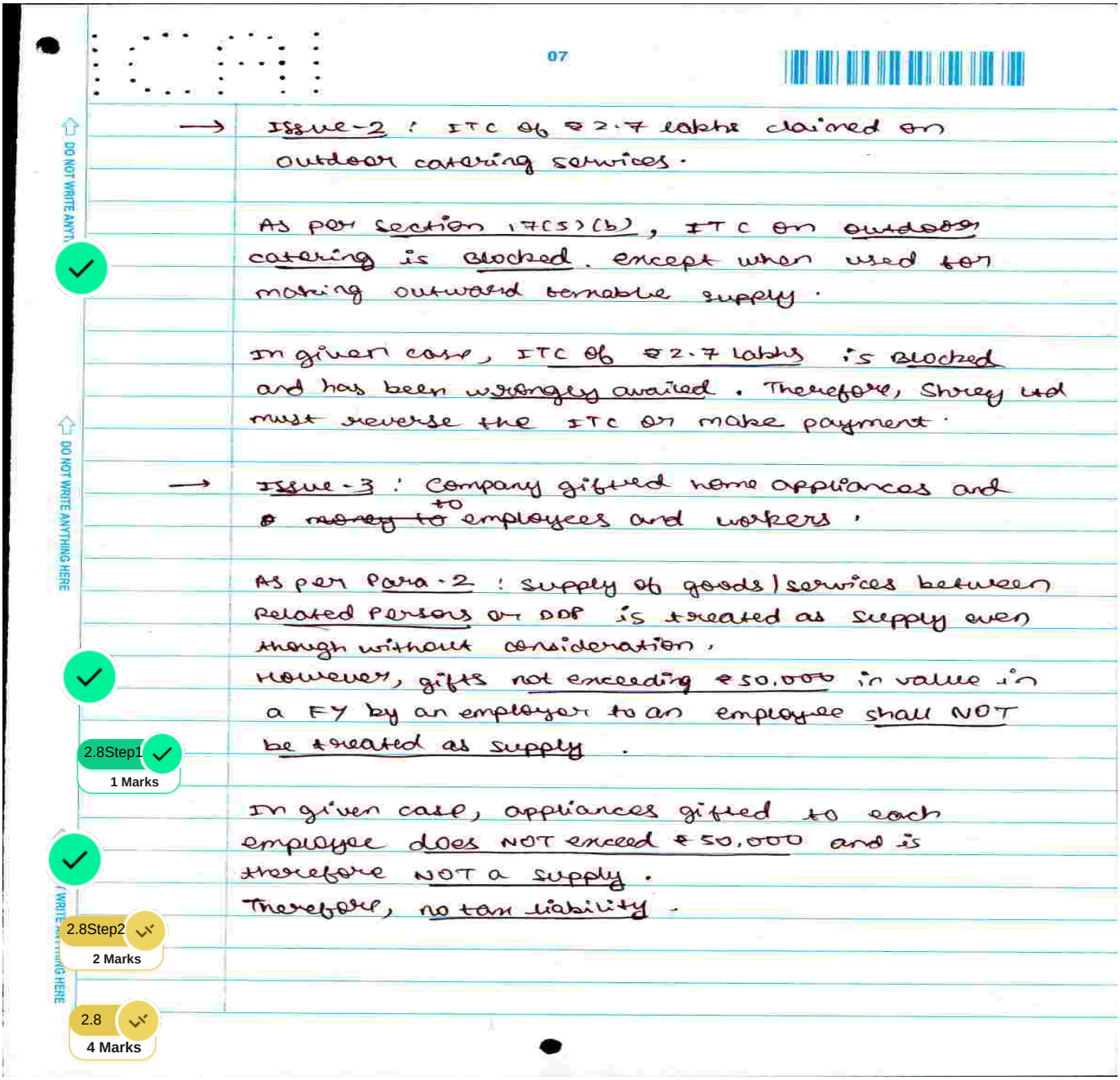
As per section 50(3), if ITC is wrongly availed and utilised, the RP has to pay interest @18% p.a. from date of utilisation to date of reversal/payment.
ITC treated as utilised when balance in Electronic credit ledger falls below amount of wrongly availed ITC.

In given case, after filing GSTR-3B for march, ITC balance is ₹120 lakhs.
∴ wrongly utilised ITC = (150-120) lakhs
= ₹30 lakhs.

∴ company must pay interest @18% p.a. on above ₹18 lakhs.

2.8Step3 LV
1 Marks

DO NOT WRITE ANYTHING HERE



07

→ Issue-2 : ITC of ₹2.7 lakhs claimed on outdoor catering services.

As per section 17(5)(b), ITC on outdoor catering is blocked, except when used for making outward taxable supply.

In given case, ITC of ₹2.7 lakhs is blocked and has been wrongly availed. Therefore, Shreej Ltd must reverse the ITC or make payment.

→ Issue-3 : Company gifted home appliances and ~~money to~~ to employees and workers.

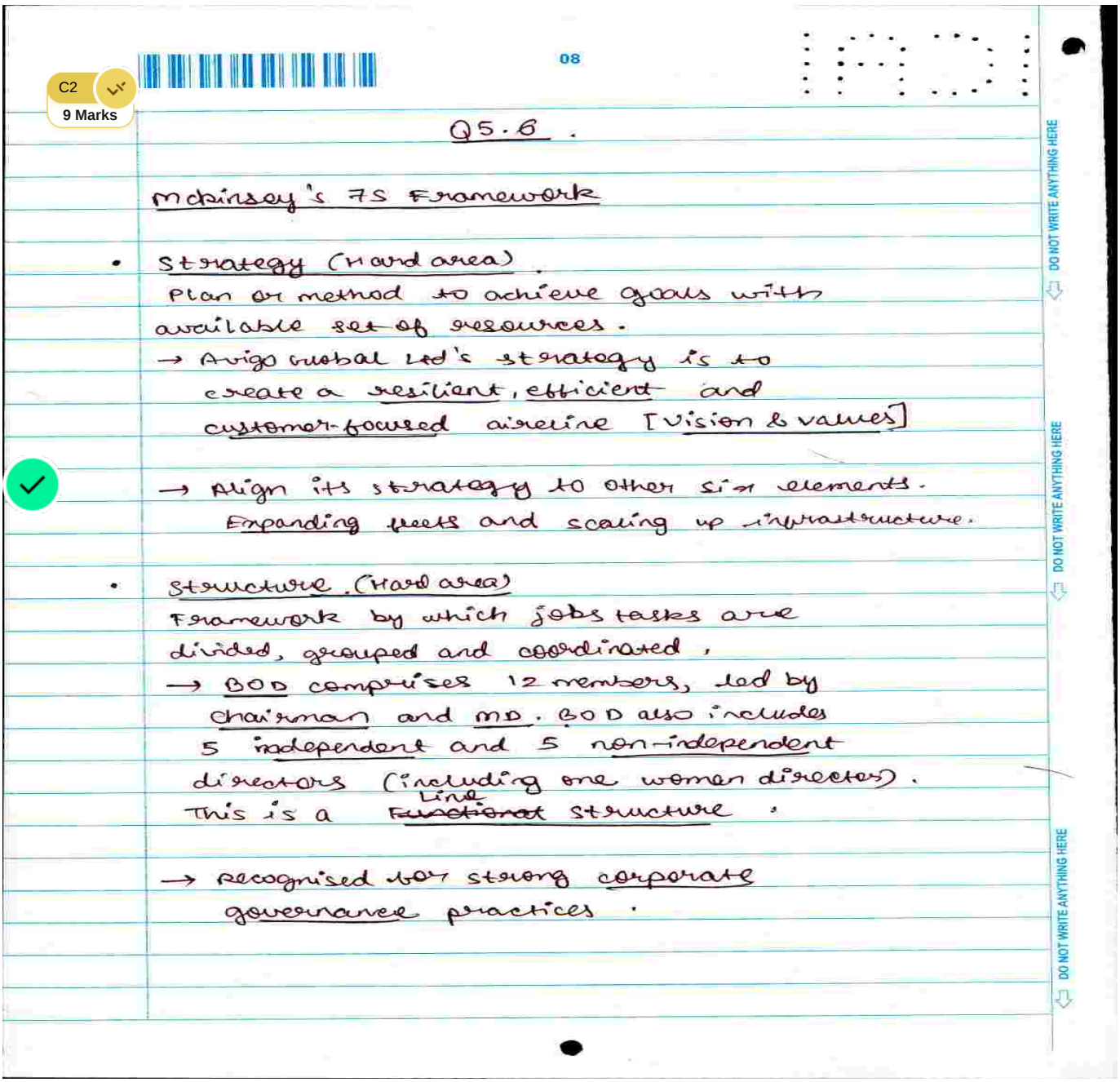
As per Para-2 : Supply of goods/services between Related Persons or DOP is treated as supply even though without consideration.
However, gifts not exceeding ₹50,000 in value in a FY by an employer to an employee shall NOT be treated as supply.

In given case, appliances gifted to each employee does NOT exceed ₹50,000 and is therefore NOT a supply.
Therefore, no tax liability.

2.8Step1 1 Marks

2.8Step2 2 Marks

2.8 4 Marks



C2 9 Marks

08

Q5.6.

Mckinsey's 7S Framework

- Strategy (Hard area)
  Plan or method to achieve goals with available set of resources.
  → Avigo Global Ltd's strategy is to create a resilient, efficient and customer-focused airline [Vision & values]

  → Align its strategy to other 6 elements. Expanding fleets and scaling up infrastructure.

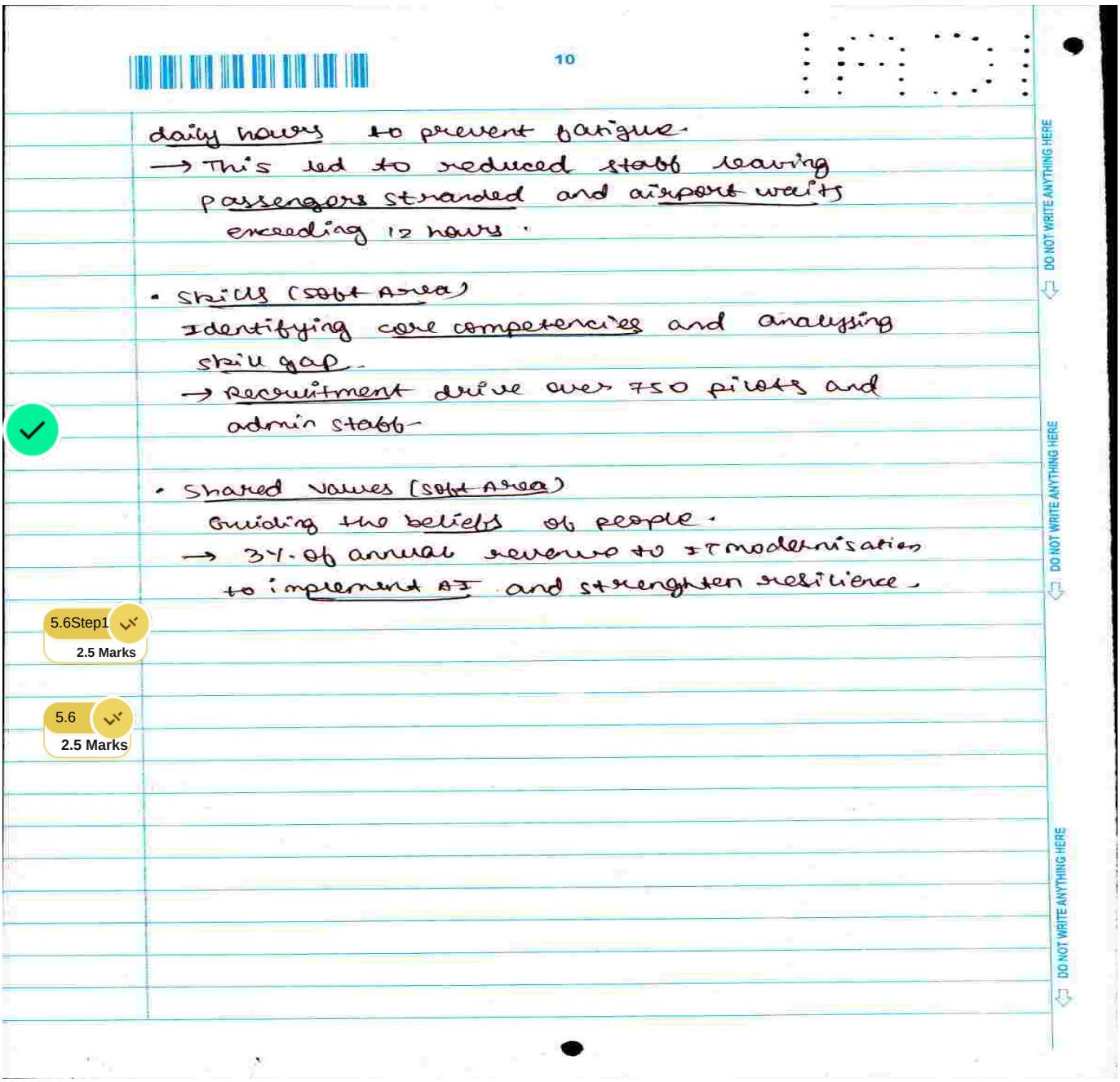
- Structure (Hard area)
  Framework by which jobs tasks are divided, grouped and coordinated.
  → BOD comprises 12 members, led by Chairman and MD. BOD also includes 5 independent and 5 non-independent directors (including one women director).
  This is a ~~Functional~~ Line structure.

  → Recognised for strong corporate governance practices.

DO NOT WRITE ANYTHING HERE

09

- Systems (Hard Area)
  Processes and daily activities
  → 1900 daily flights ~~and~~ across 125 domestic and international destinations.
  → Ultra-low cost carrier built on cost control.
  → On-time performance above 75-85%.
  → Sale and leaseback arrangements.
- Style (Soft Area)
  Informal rules and culture of organisation.
  → Board established by CMG, chaired by Karanveer Singh to oversee operational breakdown due to crew shortages, software issue, etc
  → CMG met daily to restore operational integrity.
  → Implemented long-term reforms. 7% flight reduction, improved crew rostering.
  → Rebuild passenger confidence, offered refunds and compensations
  → Launched a recruitment drive to hire over 750 pilots to prevent staff shortages.
- Staff (Soft Area)
  ~~identifying core competencies, analysing skill gap and outsourcing for non-core skills.~~ Intellectual capital.
  → Recruitment drive to hire over 750 pilots and admin staff to prevent staff shortages
  → Mandatory weekly rest increased from 30 to 48 consecutive hours, stricter time limits on night flying and maximum



10

daily hours to prevent fatigue.
→ This led to reduced staff leaving passengers stranded and airport waits exceeding 12 hours.

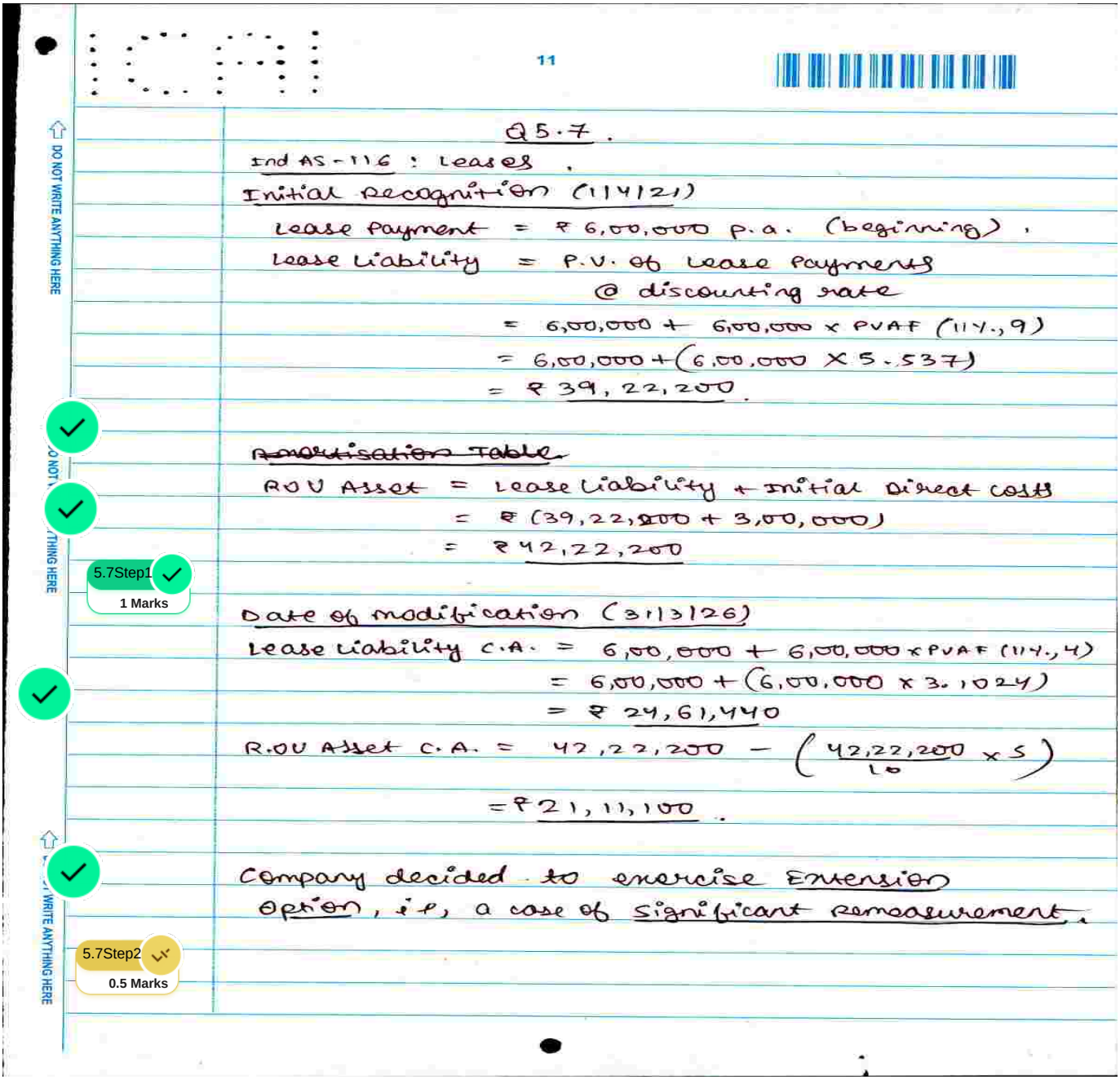
- Skills (Soft Area)
  Identifying core competencies and analysing skill gap.
  → Recruitment drive over 750 pilots and admin staff.

- Shared Values (Soft Area)
  Guiding the beliefs of people.
  → 3% of annual revenue to IT modernisation to implement AI and strengthen resilience.

DO NOT WRITE ANYTHING HERE

5.6Step1 2.5 Marks

5.6 2.5 Marks



11

Q5.7.

Ind AS-116 : Leases.

Initial Recognition (1/4/21)

Lease Payment = ₹ 6,00,000 p.a. (beginning).

Lease Liability = P.V. of Lease Payments @ discounting rate

= 6,00,000 + 6,00,000 × PVAF (11%, 9)

= 6,00,000 + (6,00,000 × 5.537)

= ₹ 39,22,200.

~~Amortisation Table~~

ROU Asset = Lease Liability + Initial Direct costs

= ₹ (39,22,200 + 3,00,000)

= ₹ 42,22,200

5.7Step1 ✓ 1 Marks

Date of modification (31/3/26)

Lease Liability C.A. = 6,00,000 + 6,00,000 × PVAF (11%, 4)

= 6,00,000 + (6,00,000 × 3.1024)

= ₹ 24,61,440

R.OU Asset C.A. = $42,22,200 - \left(\frac{42,22,200}{10} \times 5\right)$

= ₹ 21,11,100.

Company decided to exercise Extension option, i.e, a case of significant remeasurement.

5.7Step2 ✓ 0.5 Marks

Revised Lease Liability (as on 31/3/26)

Years (bgn.)	L.P.	PVF@12%.
1	6,00,000	1
2	6,00,000	0.8928
3	6,00,000	0.7972
4	6,00,000	0.7118
5	6,00,000	0.6355
6	8,00,000	0.5674
7	8,00,000	0.5066
8	8,00,000	0.4524
9	8,00,000	0.4039
10	8,00,000	0.3606

∴ Lease Liability = 6,00,000 + (6,00,000 × 3.0373)
+ (8,00,000 × 2.2909)
= ₹ 42,55,100.

∴ Increase in lease liability = ₹ (42,55,100
− 24,61,440)
= ₹ 17,93,660.

Journal.

ROU Asset A/c ...Dr	17,93,660	
To Lease Liability		17,93,660

(Being lease Term increased via extension option)

5.7Step3 ✓ 1 Mark
5.7Step4 ✗ 0 Marks

5.7 2.5 Marks

Q5.8.

(i) Section 194I of Income Tax Act, 1961.

No TDS required to be deducted on payment made by a lessee to lessor (being a unit located in IFSC), for lease of an aircraft/ship for 10 AY's in which lessor claiming deduction u/s 80LA.

Since PQR Fleet services have commenced operations before 31/3/30, it is eligible for deduction u/s 80LA.

5.8Step1 1 Marks

Therefore, no TDS required to be deducted.

(ii) Section 194C of Income Tax Act, 1961

Landing & Parking charges paid to airport authority is not merely for use of land but also various other facilities like air traffic services, ground safety, aeronautical, etc.

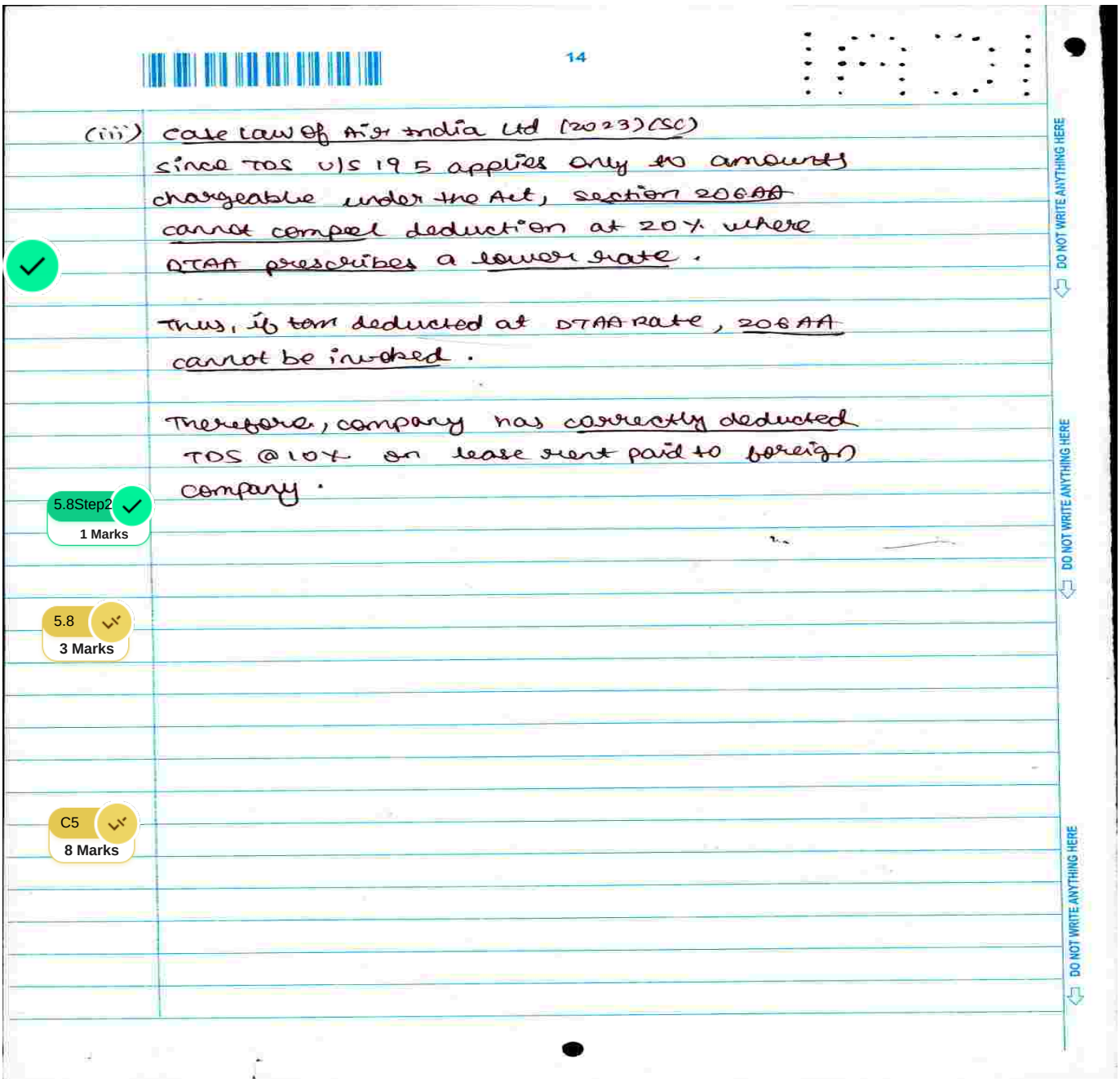
Hence, TDS not liable u/s 194I. Instead, TDS applicable u/s 194C @2%.

∴ No short-payment of TDS with respect to payment to Airport Authority.

[Japan Airlines Co Ltd / Singapore Airlines (SC) case law]

5.8Step3 1 Marks

Payments to private airport operator short-deducted TDS



14

(iii) Case law of Air India Ltd (2023)(SC)
since TDS u/s 195 applies only to amounts chargeable under the Act, section 206AA cannot compel deduction at 20% where DTAA prescribes a lower rate.

Thus, if tax deducted at DTAA rate, 206AA cannot be invoked.

Therefore, company has correctly deducted TDS @10% on lease rent paid to foreign company.

DO NOT WRITE ANYTHING HERE

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5.8Step2
1 Marks

5.8
3 Marks

C5
8 Marks

DO NOT WRITE ANYTHING HERE

Q 4.6.

Ind AS-2 : Inventories.

Calculation of Joint cost		(₹)
Total common cost		
→ material		6,40,000
→ direct labour		3,20,000
→ Direct Expenses		1,56,000
→ Fixed overheads	(190000 - 30000)	1,60,000
		12,76,000
less : NRV of by-product		(19,000)
[(24 × 1000) - 5000]		
less : sale of scrap		(9,600)
Joint cost		12,47,400

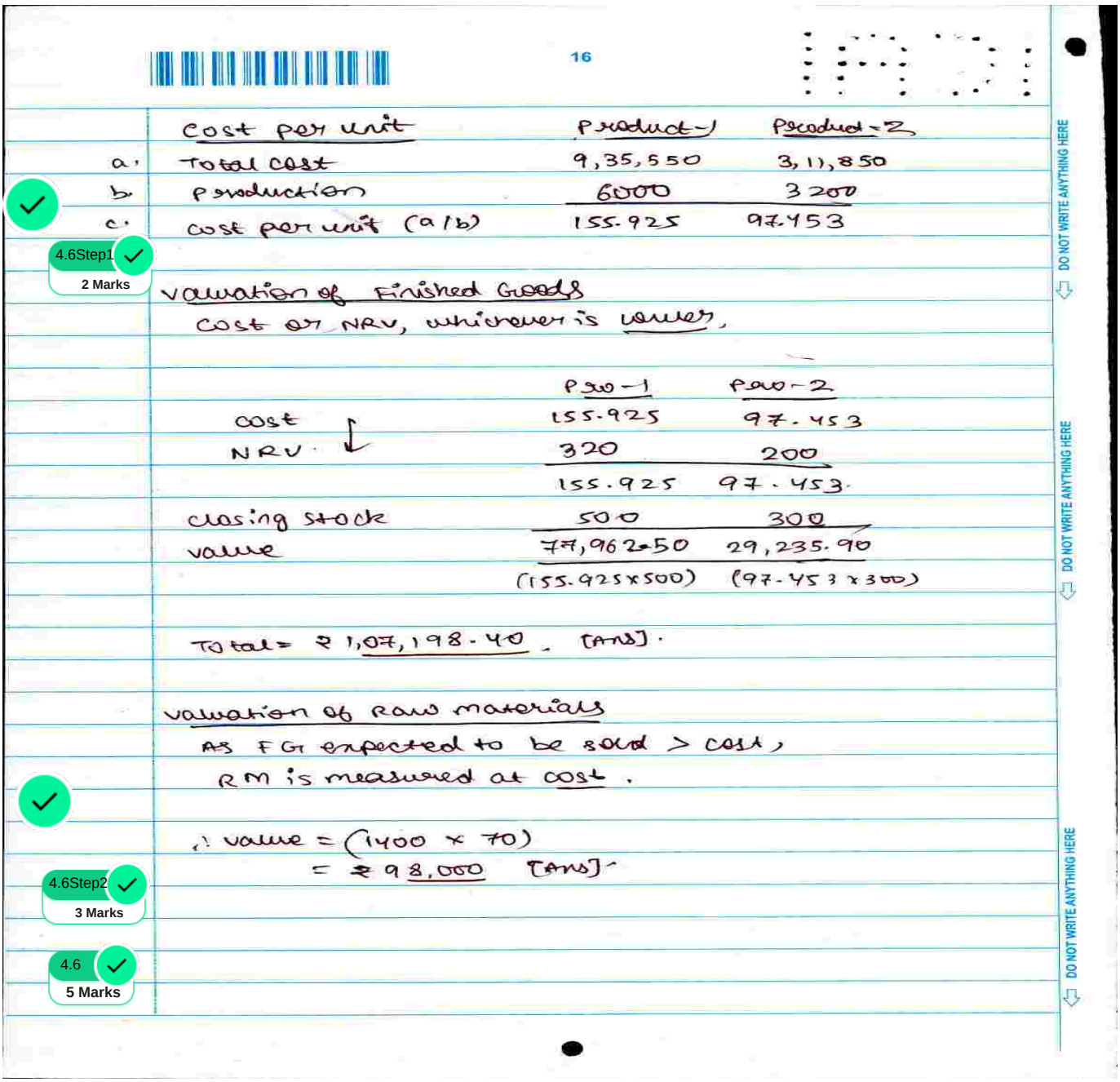
Allocation		Product - 1	Product - 2
a.	units produced	6,000	3,200
b.	Sales price	320	200
c.	Sales value (a×b)	19,20,000	6,40,000

∴ Cost of Product - 1 = $\frac{19,20,000}{25,60,000} \times 12,47,400$

= ₹ 9,35,550.

Cost of Product - 2 = $\frac{6,40,000}{25,60,000} \times 12,47,400$

= ₹ 3,11,850



16

	Cost per unit	Product-1	Product-2
a.	Total cost	9,35,550	3,11,850
b.	production	6000	3200
c.	cost per unit (a/b)	155.925	97.453

4.6Step1 ✓ 2 Marks

Valuation of Finished Goods

Cost or NRV, whichever is lower.

	Pdt-1	Pdt-2
Cost	155.925	97.453
NRV ↓	320	200
	155.925	97.453
closing stock	500	300
value	77,962.50	29,235.90
	(155.925 × 500)	(97.453 × 300)

Total = ₹ 1,07,198.40. [Ans].

Valuation of Raw materials

As FG expected to be sold > cost,

RM is measured at cost.

∴ value = (1400 × 70)

= ₹ 98,000 [Ans].

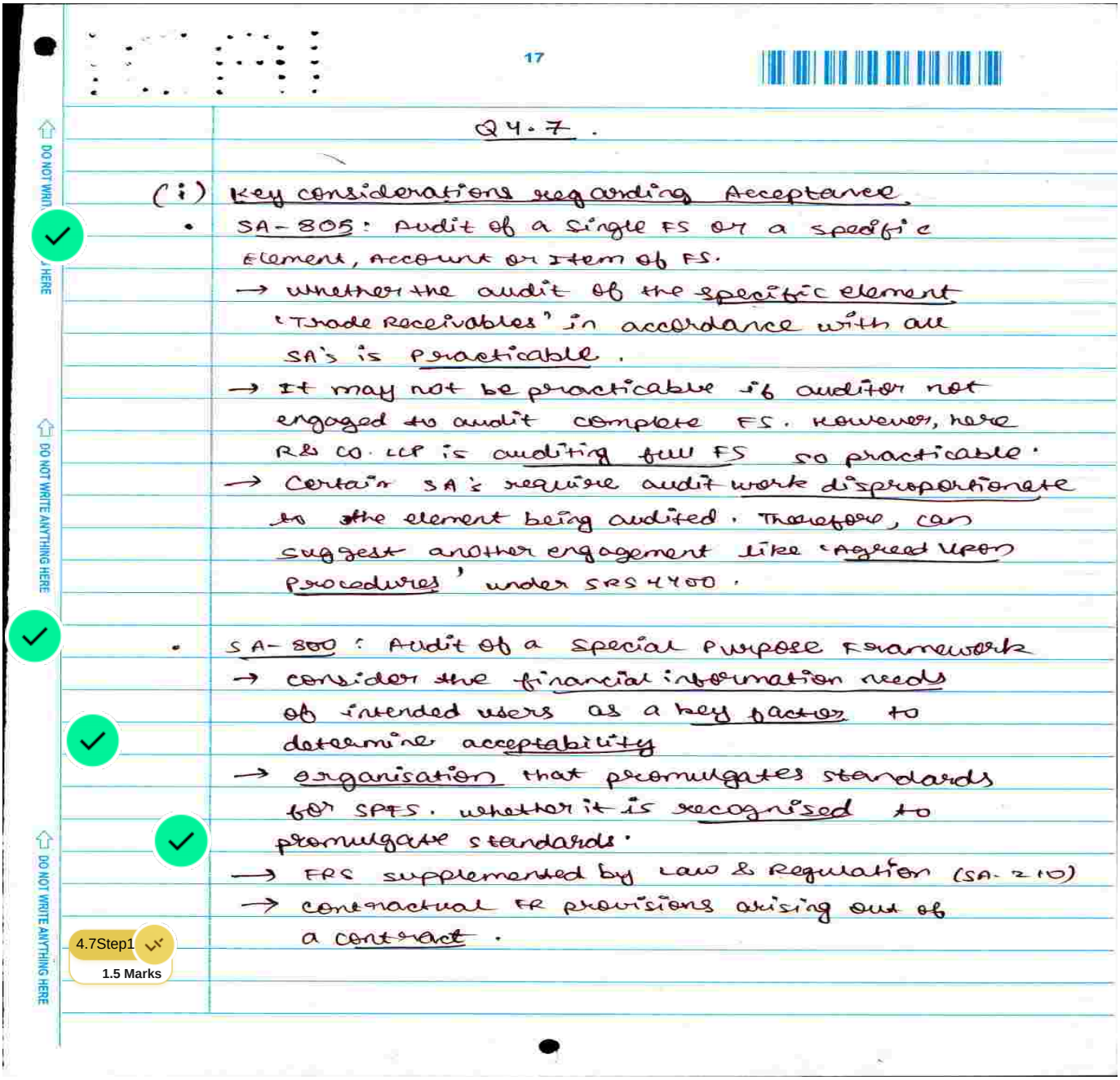
4.6Step2 ✓ 3 Marks

4.6 ✓ 5 Marks

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17

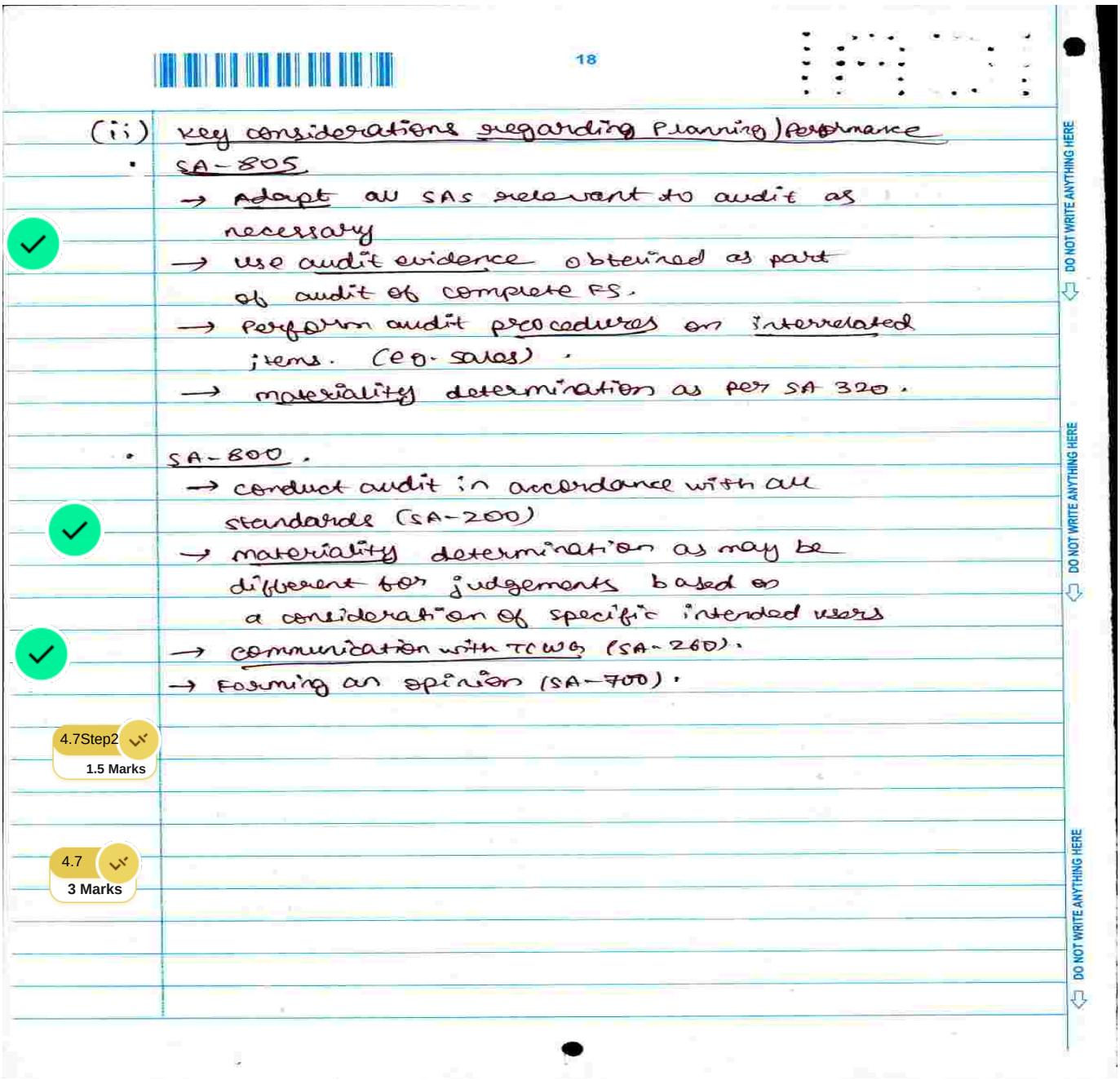
Q4.7.

(i) Key considerations regarding Acceptance.

- SA-805: Audit of a Single FS or a specific Element, Account or Item of FS.
  - → Whether the audit of the specific element 'Trade Receivables' in accordance with all SA's is practicable.
  - → It may not be practicable if auditor not engaged to audit complete FS. However, here R&Co. LLP is auditing full FS so practicable.
  - → Certain SA's require audit work disproportionate to the element being audited. Therefore, can suggest another engagement like 'Agreed Upon Procedures' under SRS 4400.

- SA-800: Audit of a Special Purpose Framework
  - → Consider the financial information needs of intended users as a key factor to determine acceptability
  - → organisation that promulgates standards for SPFS. whether it is recognised to promulgate standards.
  - → FRS supplemented by Law & Regulation (SA-210)
  - → Contractual FR provisions arising out of a contract.

4.7Step1 ✓
1.5 Marks



18

(ii) Key considerations regarding Planning ~~Performance~~

SA-805

→ Adapt all SAs relevant to audit as necessary

→ use audit evidence obtained as part of audit of complete FS.

→ Perform audit procedures on interrelated items. (e.g. sales).

→ materiality determination as per SA 320.

SA-800.

→ conduct audit in accordance with all standards (SA-200)

→ materiality determination as may be different for judgements based on a consideration of specific intended users

→ communication with TCWG (SA-260).

→ Forming an opinion (SA-700).

4.7Step2 LY
1.5 Marks

4.7 LY
3 Marks

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DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

Q 4.8 .

Pricing strategy depends on :

Internal Factors

- Objectives
- Price elasticity
- cost of manufacturing
- Competition

External Factors

- Market composition
- Buyer's attitude
- Bargaining power
- General state of Economy .

Company should opt for ~~skimming~~ penetration Pricing because ~~less~~ penetrat

Cost - based Pricing.

Estimate cost of product and fix a margin.

Take Full cost at current output and wage level .

Since 2 contradictory reports received, this is a suitable strategy.

Alternatively, consider Competition-based Pricing

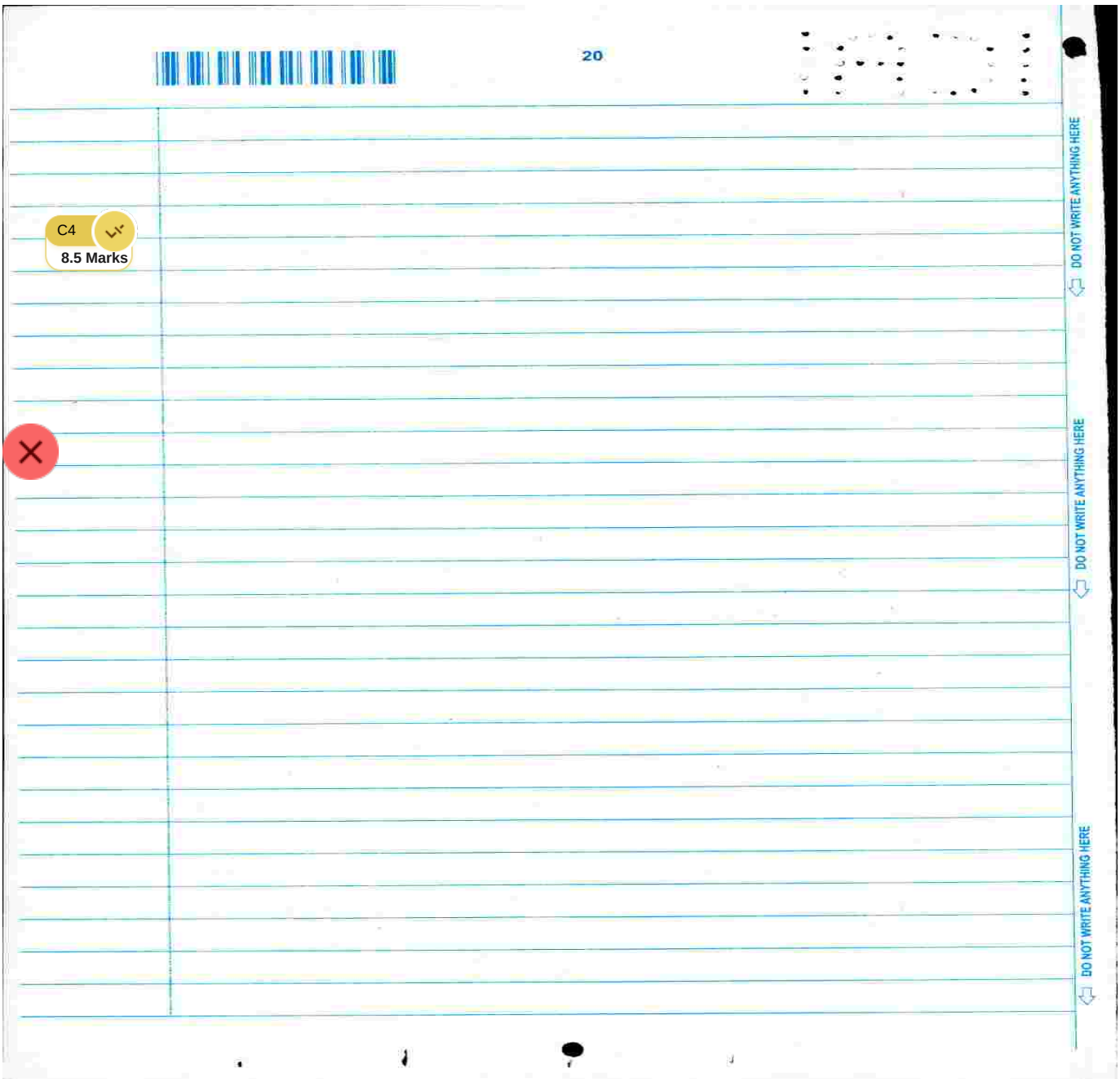
4.8Step1 0.5 Marks

4.8 0.5 Marks

The Institute of Chartered Accountants of India

Code: FN6IB802425 **Total Marks:** 60

Subject : 06 Integrated Business Solutions Multi disciplinary Case Studies **Marks Obtained** : 39.5



Q 3.6.

Ind AS 103 : Business combinations.

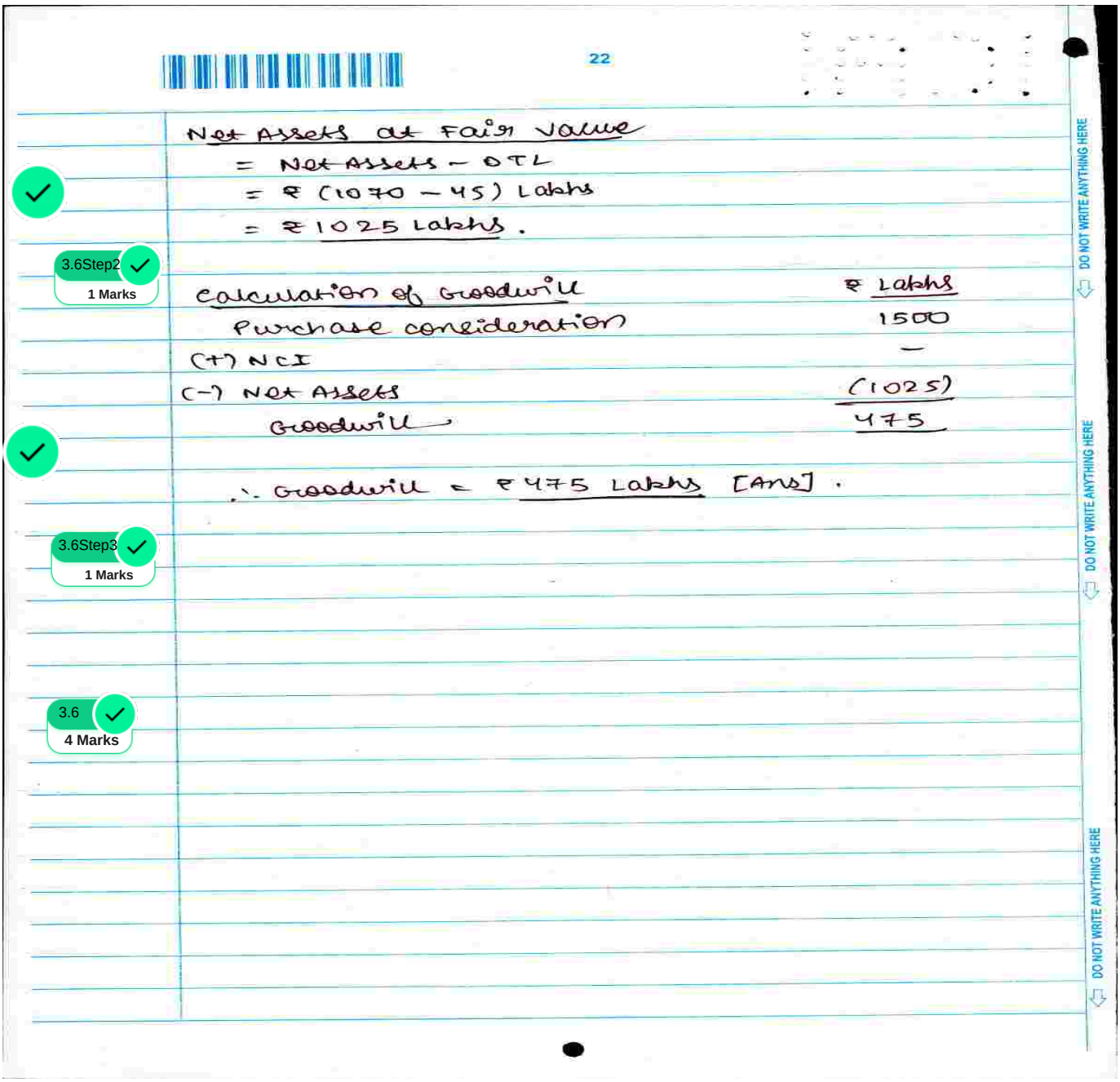
→ Net Assets Acquired

Particulars	Fair ~~Book~~ value	Tax Base
Assets		
Land & Building	700	500
PPE	270	200
Inventory	80	100
Accounts Receivable	150	150
Cash	130	130
	1,330	1080
Liabilities		
Payables	(160)	(160)
Retirement obligation	(100)	—
Net Assets	1070	920

Since Fair value > Tax Base,
it is a Taxable temporary difference and
Deferred Tax Liability (DTL) is created.

DTL = (Fair value − Tax Base) × Tax Rate.
= (1070 − 920) × 30%.
~~= ₹ 597 Lakhs [Ans]~~.
= ₹ 45 Lakhs [Ans].

3.6Step1 ✓
2 Marks



22

Net Assets at Fair Value
= Net Assets − DTL
= ₹ (1070 − 45) Lakhs
= ₹ 1025 Lakhs.

3.6Step2 ✓ 1 Marks

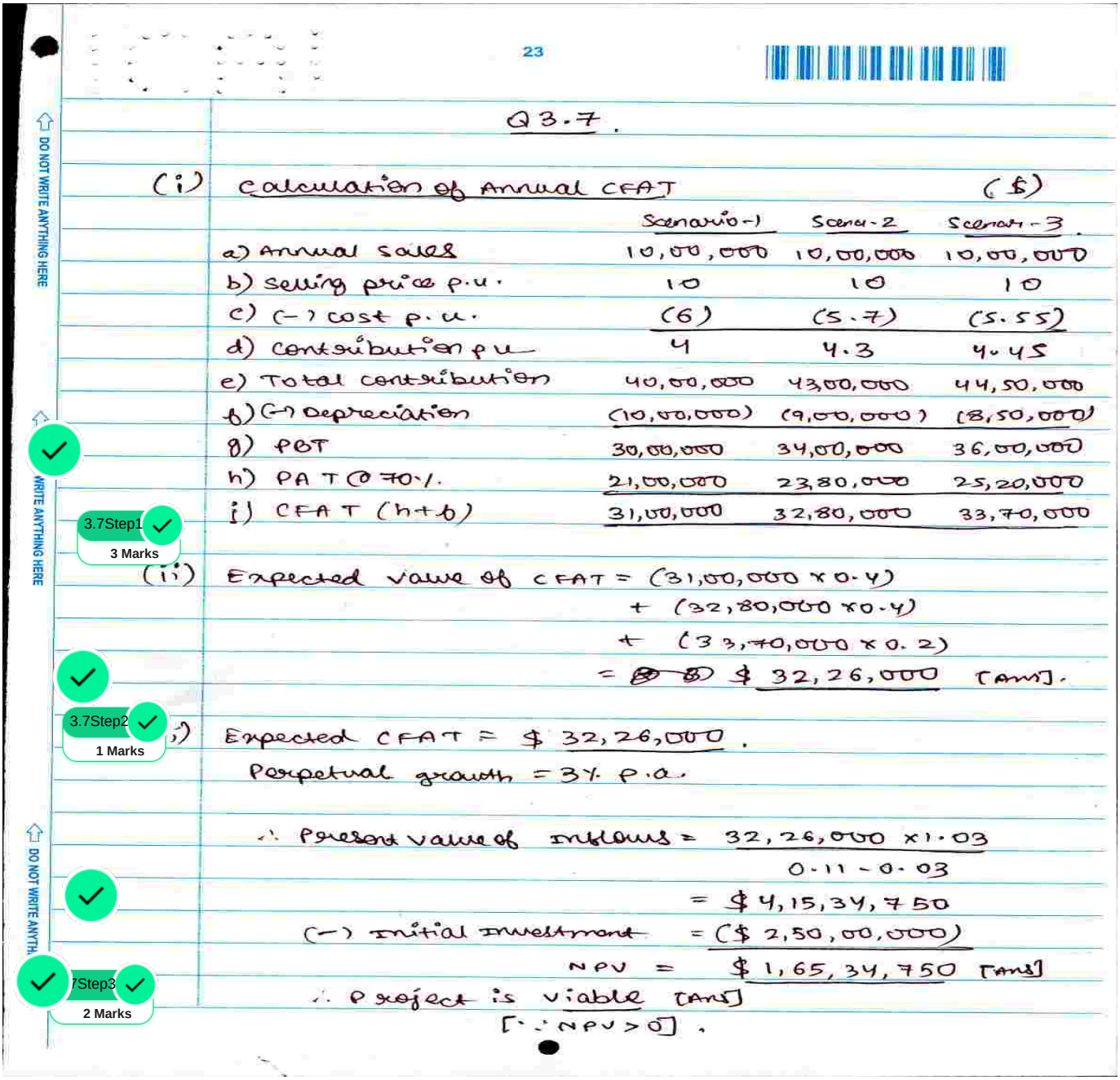
Calculation of Goodwill	₹ Lakhs
Purchase consideration	1500
(+) NCI	—
(−) Net Assets	(1025)
Goodwill	475

∴ Goodwill = ₹ 475 Lakhs [Ans].

3.6Step3 ✓ 1 Marks

3.6 ✓ 4 Marks

DO NOT WRITE ANYTHING HERE



23

Q 3.7.

(i) Calculation of Annual CFAT ($)

	Scenario-1	Scena-2	Scenari-3
a) Annual sales	10,00,000	10,00,000	10,00,000
b) Selling price p.u.	10	10	10
c) (-) cost p.u.	(6)	(5.7)	(5.55)
d) Contribution p.u.	4	4.3	4.45
e) Total contribution	40,00,000	43,00,000	44,50,000
f) (-) Depreciation	(10,00,000)	(9,00,000)	(8,50,000)
g) PBT	30,00,000	34,00,000	36,00,000
h) PAT @ 70%	21,00,000	23,80,000	25,20,000
i) CFAT (h+f)	31,00,000	32,80,000	33,70,000

3.7Step1 ✓ 3 Marks

(ii) Expected value of CFAT = (31,00,000 × 0.4)
+ (32,80,000 × 0.4)
+ (33,70,000 × 0.2)
= $ 32,26,000 [Ans].

3.7Step2 ✓ 1 Marks

(iii) Expected CFAT = $ 32,26,000.
Perpetual growth = 3% p.a.

∴ Present value of inflows = $\frac{32,26,000 \times 1.03}{0.11 - 0.03}$
= $ 4,15,34,750
(-) Initial investment = ($ 2,50,00,000)
NPV = $ 1,65,34,750 [Ans]

∴ Project is viable [Ans]
[∵ NPV > 0].

7Step3 ✓ 2 Marks

3.7 6 Marks

Q3.8.

(i) Appeal before CIT(A) in AY 23-24

As per section 263 of Income Tax Act, 1961, CIT/PCIT/CCIT/PCCIT can call and examine for records of any order passed by AO/TPO which is:

- Erroneous, and
- prejudicial to interest of revenue.

Time limit is 2 years from end of FY in which original order passed.

Further, CIT cannot revise matters involving appeal, i.e, matters that are decided or considered in any appeal cannot be revised. However, Partial merger applies and CIT can revise other matters of same order.

Therefore, the tax counsel is incorrect.

Course of action.

Order passed U/S 263 can be appealed against at ITAT. (Income Tax Appellate Tribunal)

Therefore, company must file an appeal before ITAT within 2 months from end of month in which order received.

3.8Step1 2 Marks

DO NOT WRITE ANYTHING HERE

(ii) Appeal for AY 24-25 before Appellate Tribunal
As per Section 264 of Income Tax Act, 1962
CIT/PCIT/CCIT/PCCIT may on his own motion or application by assessee, examine records and pass a revisional order.

However, doctrine of Total merger applies here and assessee can either prefer an appeal or can apply to CIT/PCIT/CCIT/PCCIT for revision u/s 264.
Both remedies cannot be available simultaneously.

In given case, since assessee has already preferred appeal, it cannot seek Revision Order Total merger applies.

∴ Tax counsel is incorrect

Course of Action
Company must file an appeal against the other matter (disallowance u/s 40A(2)) to CIT(A).

3.8Step2 2 Marks

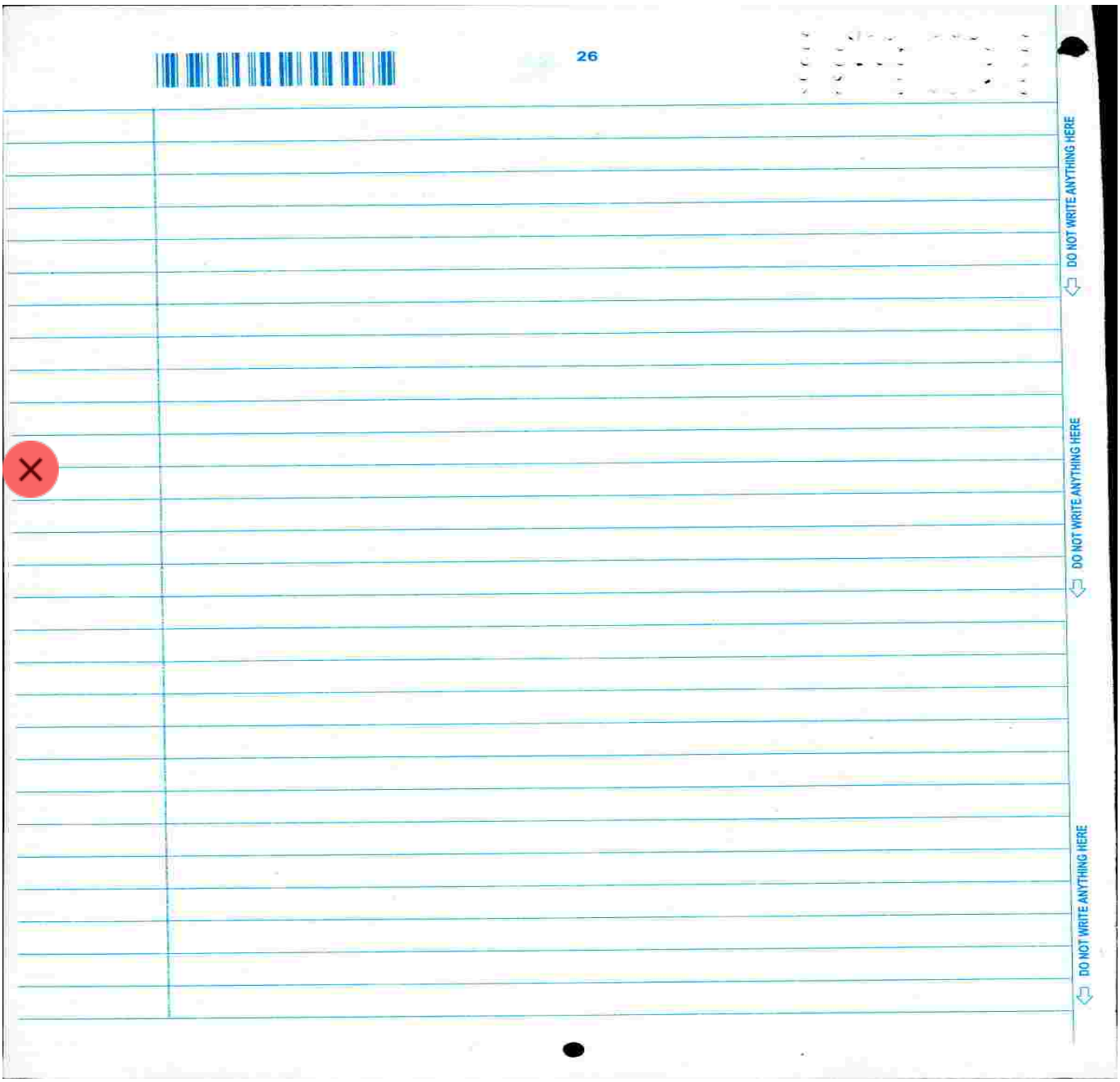
3.8 4 Marks

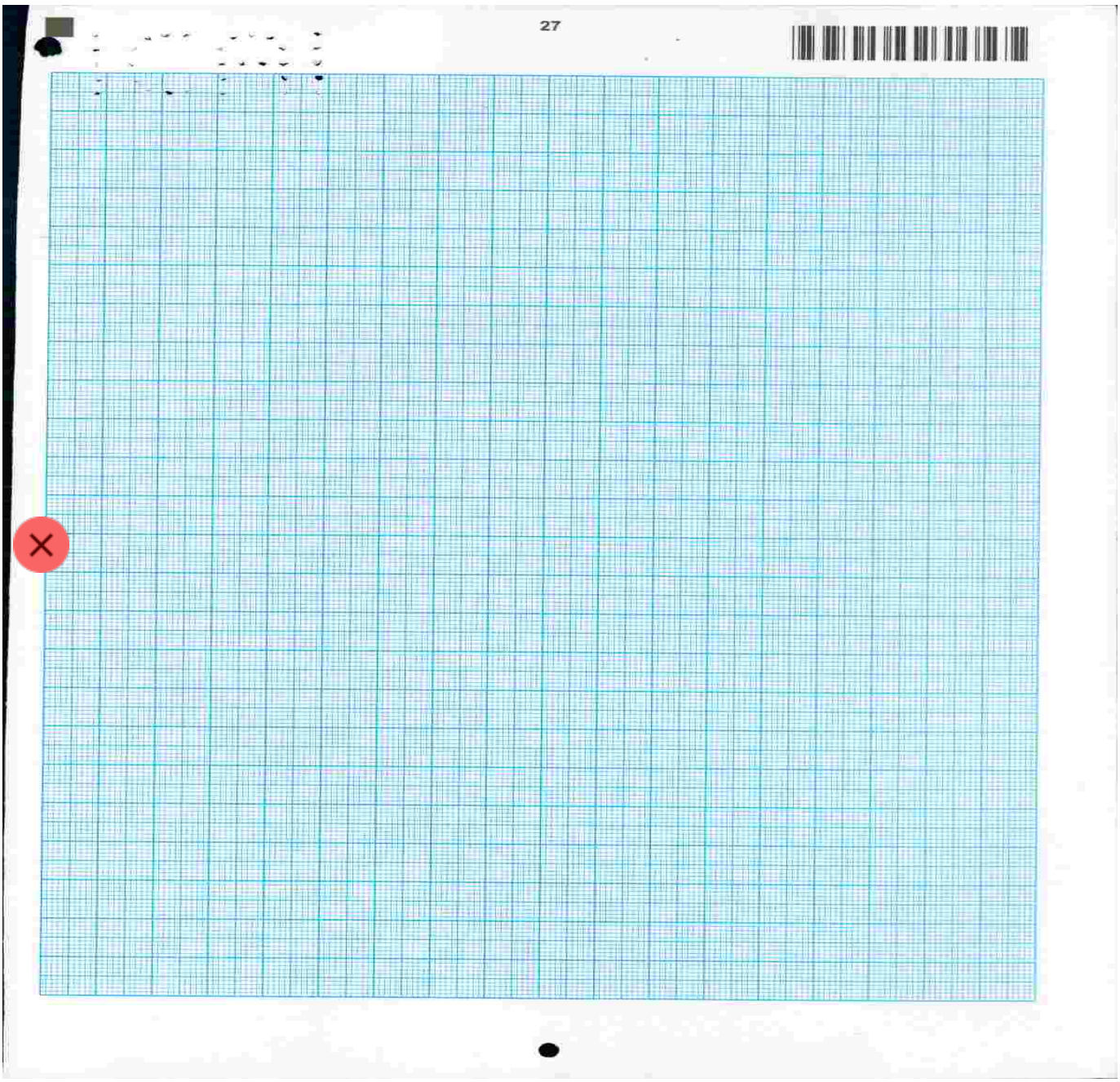
C3 14 Marks

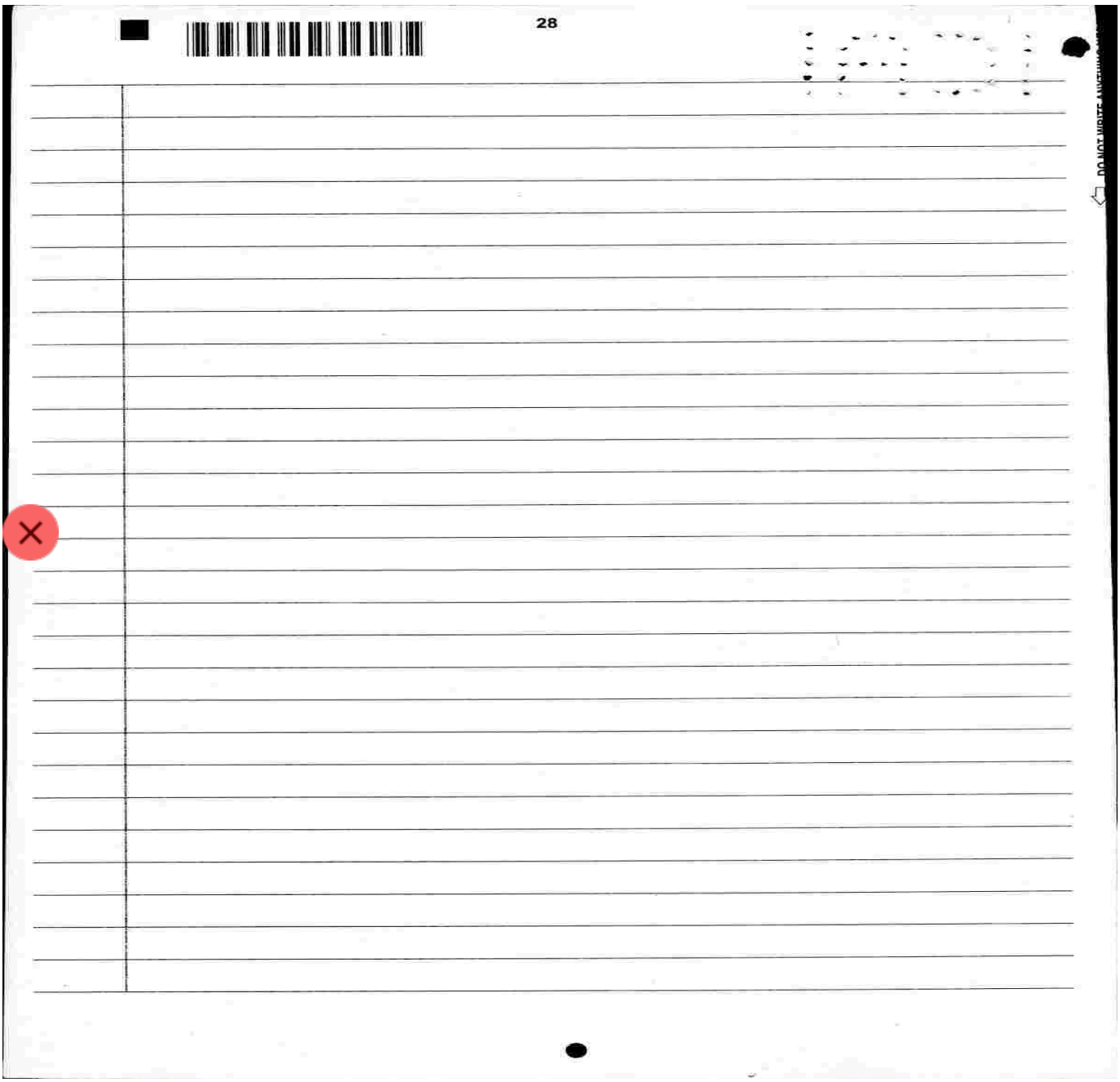
The Institute of Chartered Accountants of India

Code: FN6IB802425 **Total Marks:** 60

Subject : 06 Integrated Business Solutions Multi disciplinary Case Studies **Marks Obtained** : 39.5




27


28
DO NOT WRITE ANYTHING

The Institute of Chartered Accountants of India

Code: FN6IB802425 **Total Marks:** 60

Subject : 06 Integrated Business Solutions Multi disciplinary Case Studies **Marks Obtained :** 39.5

Result Overview

Awarded Marks:39.5	Max Marks:60

Not Attempted	Optional	M Marked

Case Study (Score: 39.5/60)

Question No	Awarded Marks	Maximum Marks	Status
C1	0	15	
1.6	0	5	
1.7	0	5	
1.8	0	5	
C2	9	15	M
2.6	3	5	M
2.7	2	4	M
2.8	4	6	M
C3	14	15	M
3.6	4	4	M
3.7	6	6	M

3.8	4	5	M
C4	8.5	15	M
4.6	5	5	M
4.7	3	5	M
4.8	0.5	5	M
C5	8	15	M
5.6	2.5	6	M
5.7	2.5	5	M
5.8	3	4	M